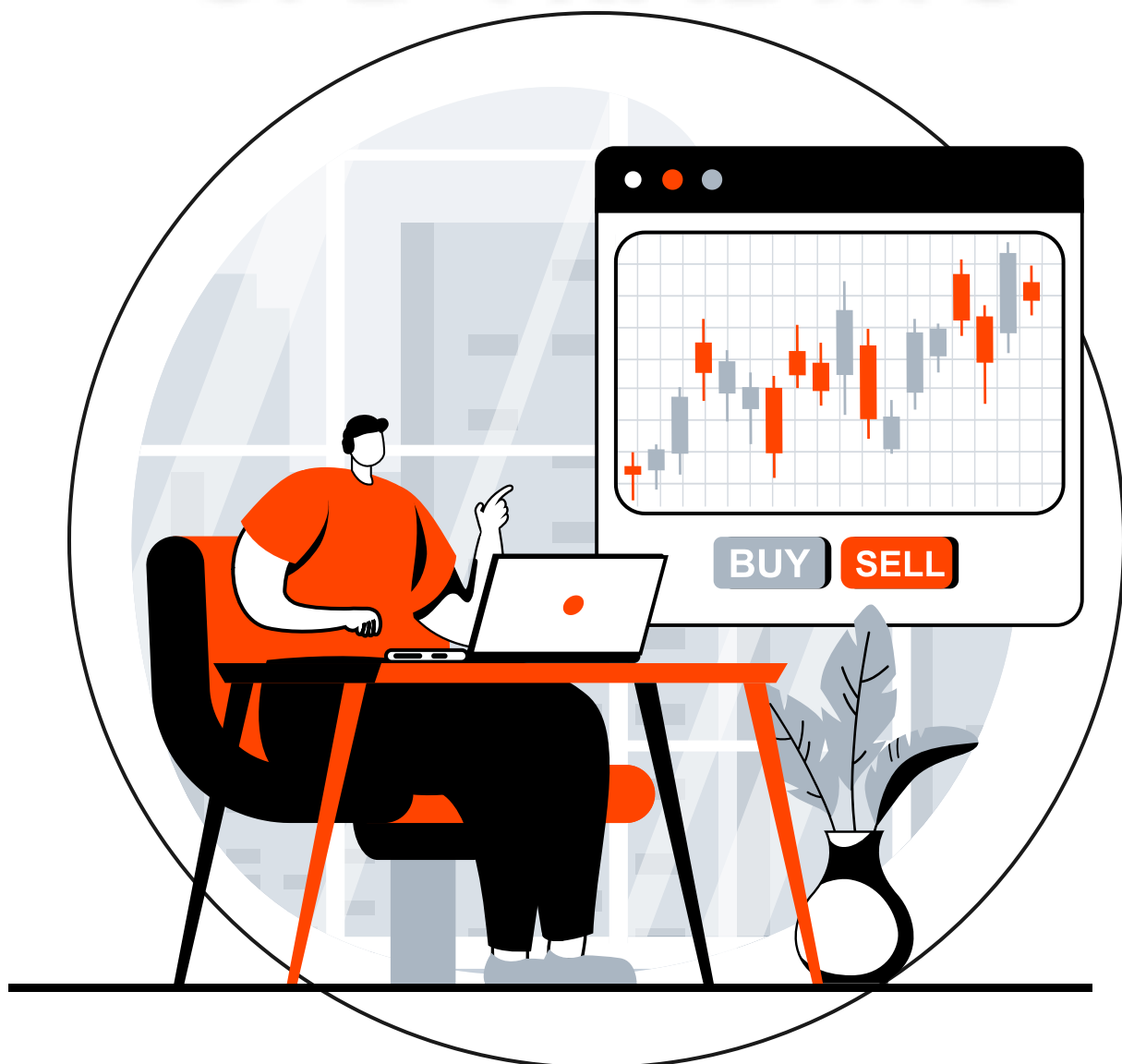




BEGINNERS' GUIDE TO CFD TRADING



By OQtima

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BASICS

What is Forex?

In simple words, **Forex** also known as “**FX**” stands for **FOREIGN EXCHANGE** and it is the global financial market that allows you to trade currencies.

The global FX is the largest most liquid and most diverse market in the world. FX is available for trading 24/5.

Forex trading involves buying and selling currency pairs with the aim of making a profit.

Forex trading is basically speculating on the strength of one country's economy against another.



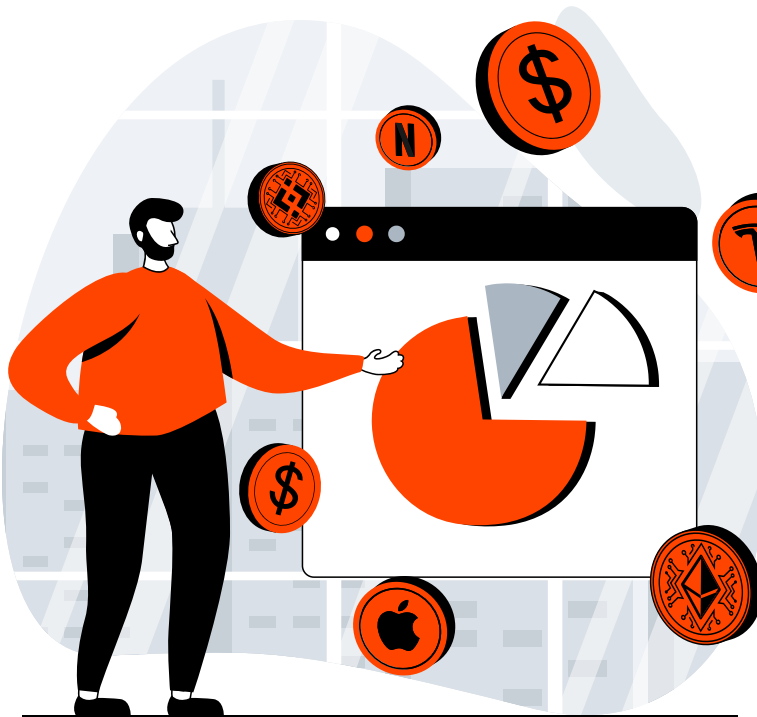
What is traded in Forex?

In the Forex market, you trade currency pairs. Each currency is represented by a three-letter code e.g.: **EUR** or **USD**. And together, they make a tradable "currency pair", e.g.: **EURUSD**.

In the example above you are trading **EURO** vs. **United States Dollar**.



What is the Stock Market?



The Stock Market refers to several exchanges in which shares of publicly held companies are bought or sold. For example, some of the exchanges include the New York Stock Exchange (NYSE), Nasdaq or the London Stock Exchange.

What is traded in the Stock Market?

In the Stock Market, you are trading Shares or Stocks of publicly held companies. A Share is simply a divided-up unit of the value of a company. When a public company divides itself into several shares that are then available to buy by the public at a price per share.

Buying company shares is buying ownership in that company. Companies issue shares to raise money and investors (that's you) buy shares in businesses because they believe the company will do well and they want to 'share' in its success.





Precious
Metals



Shares



Forex

Available
assets for
trading
with
OQtima



Indices



ETFs



Energies

How do Fx trading works?

FX is the largest market in the financial world so let's start by explaining how it works:

You have a list of currency pairs available to trade. Each currency pair has a price quote which is the price of the exchange between the two different currencies. You can buy or sell one currency against the other.

Knowledge tip:

The first currency in the pair is known as the **BASE** currency and the second currency in the pair is the **TERM** or **QUOTE** currency.

Time for an example?

You think that the value of the Euro will go up compared to US Dollar. So, you buy "x" amount of Euro in the hope that the value of Euro will rise, and you make a profit.

Let's put this example into practice!

On your trading platform, you see EUR/USD quoted (this is the price your broker is quoting you) at 1.1000. This means that you the exchange is 1 Euro for 1.10 US dollars. Remember that the Euro is your base currency and the US Dollar is the quote currency.

Now you still think Euro will go up, so you exchange 110 US dollars for 100 Euros. When you check your platform again later, you see that EUR/USD is now quoted at 1.1500. This means that you now get more US dollars for your Euro. So, you exchange the 100 Euros that you bought earlier, and you now have 115 US Dollars. You started with 110 US Dollars, and now you made a 5 US Dollars profit. Don't forget that this works both ways, so if the value of the Euro was to go down then you would make a loss.

Knowledge tip:

When you **buy**, you are **buying** the **BASE** currency of the pair and simultaneously **selling** the **QUOTE**.
When you **sell**, you are **selling** the **BASE** currency of the pair and simultaneously **buying** the **QUOTE**.

What is CFD Trading?

CFD stands for '**Contracts for Difference**'. A CFD is a tradable instrument that mirrors the movements of the asset underlying it.

When trading CFDs it means that **you are not physically exchanging currencies, or purchasing any assets**, but you are simply making a profit or loss based on your speculation of the price movement.

This allows traders to make investments in a huge range of assets, realising profits or losses on the price movement without having to own it. Essentially, it is a contract between the client and the broker.



TRADING SESSIONS

When can I trade Forex?

The Forex Market is open 24/5 and depending on where you are in the world, it opens at the beginning of the week and closes at the close of the business week on Friday.

The opening and closing times are based on the platform server time. You'll find out that very often most platform servers will be set on GMT+3 during summer and GMT+2 during winter.

There are various Sessions that will take place throughout the day which makes up the Forex Trading hours and because the Forex Market is active 24 hours a day, there is at least one active trading session at one time.

The main three sessions that make up the Forex Market are the **Tokyo Session**, the **London Session** and the **New York Session**.



Tokyo Session

FX Trading starts at Sunday midnight (GMT+2) with the Tokyo Session being the first session of the Forex Market when it reopens after the weekend.

Tokyo is the major financial Centre for the Asian Session and it is also known as the Asian Session; spreading across New Zealand, Australia, Japan, China and Russia.

This Session is generally known as the least liquid session, as the liquidity in the market can be very low and the volatility can be very high. Large price jumps are not unusual during the Tokyo Session.

The Tokyo Session opens Sunday from midnight 00:00 until 11:00 GMT+2 and during this session, you can often see major announcements coming from banks in New Zealand, Australia, Japan and other Asian countries which can affect the forex market and the exchange rate of the currency pairs.



London session



The London session takes over just before the Tokyo Session closes. There is one-hour overlap between the Asian and the London sessions.

The London session opens at 10:00 GMT+2 and closes at 19:00 GMT+2.

The Liquidity in the market is much higher than during the Tokyo Session. This trading session is very dense as it includes several major EU financial markets including Germany and France. During the London session, you will often see major announcements from the European Central Bank (ECB) or the Bank of England (BoE) as well as announcement of each individual countries making up the Eurozone which can affect the Forex market.

New York session

While the Tokyo Session is well over, and the London session is only halfway through, the US markets open and the New York Session begins.

This is the most active session in the Forex market due to the 4 hours overlap of the London and New York Sessions.

This is the period when the Forex market is most liquid and the trading volumes are the highest.

The New York Session opens at 15:00 GMT+2 and closes at 00:00 GMT+2.

You will see major announcements coming from the Federal Reserve (FED) and other major announcements that can affect the Forex market as well as other assets including Gold and Oil.



When can I trade Stocks?

Unlike the 24/5 world of the FX market, the stock market is only open during set hours times in the day. Depending on which stock you are trading, the times are set by the operating hours of that specific stock market.

You will find that the Stock Market starts 30 min late, so a typical trading session only lasts 7 ½ hours.

For example, the New York Session in FX starts at 15:00 (GMT+2) but the Stock Market only opens at 15:30 (GMT+2) and closes at 23:00 (GMT+2) instead of midnight.

Once the Market is closed you cannot buy or sell more stocks or close any of your open positions.

The same applies to stocks from other countries. For example, you can only trade EU stocks when the EU session is active. Or you will not be able to buy Australian stocks while the Tokyo Session is closed.



TRADING TERMINOLOGY

What is a PIP?

Pip stands for 'Point in percentage.' The Pips are the smallest increment in which a currency pair can move. OQtima quotes all pairs to an extra digit after the Pip (point).

10 points = 1 pip

This means that the last digit of a currency quote is a point and the second to last digit after the decimal is the pip.

This is more beneficial to traders because it gives a far more accurate price.

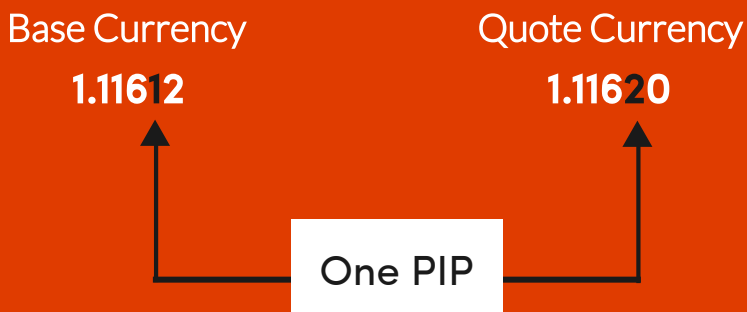
For example, if the price goes up from 1.20000 to 1.20001 then the price went up by 1 point.

If the price goes up from 1.20000 to 1.20010 then the price went up by 1 pip or 10 points.

In trading you will make a profit or loss based on the number of pips the market rises or falls.

Most currency pairs are quoted to 5 digits; however, there are a few exceptions such as the currency pairs including JPY which are quoted to 3 digits instead.

The same rule applies as in any other pair where the last digit (3rd) is the point and the 2nd digit is the Pip.



The spread is also quoted in pips. A spread of 2.1 pips or 21 points is the same value.



What is a lot?

Trading is done in specific amounts called **Lots**. Lots are made up of **Units**, which is the total quantity you will buy or sell.

Each asset class that is available for trading will have a different number of units that make up 1 Standard lot.

In Forex 1 Standard lot = 100,000 units of the base currency

In other words, if you trade 1 lot in FX you are making a transaction in an amount worth of 100,000.

There are also **Mini** and **Micro** lots available for trading which represent 10,000 and 1,000 units accordingly.

Name	Lots	Units
Micro lot	0.01	1,000
	0.05	5,000
Mini lot	0.10	10,000
	0.67	67,000
Standard lot	1.00	100,000
	1.54	154,000
Million	10.00	1,000,000

With OQtima you are able to trade FX from 0.01 lots with 0.01 lot increments with a maximum available trading volume per trade being 80.00 lots.

Standard trading sizes for various trading assets

For other financial assets that are available for trading the unit size that makes up 1 Standard lot will vary based on the asset. Below we have highlighted the various lot sizes for the most traded assets for you.

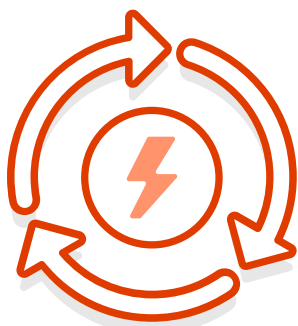


Precious Metals

Name	Lots	Units
Gold	1.00	100 Oz.
Silver	1.00	1,000 Oz.
Platinum	1.00	100 Oz.

Indices

Name	Lots	Units
NYSE	1.00	1 index
Nasdaq	1.00	1 index
ASX	1.00	1 index



Energies

Name	Lots	Units
Brent Oil	1.00	100 barrels
WTI Oil	1.00	100 barrels

What is "Spread"?

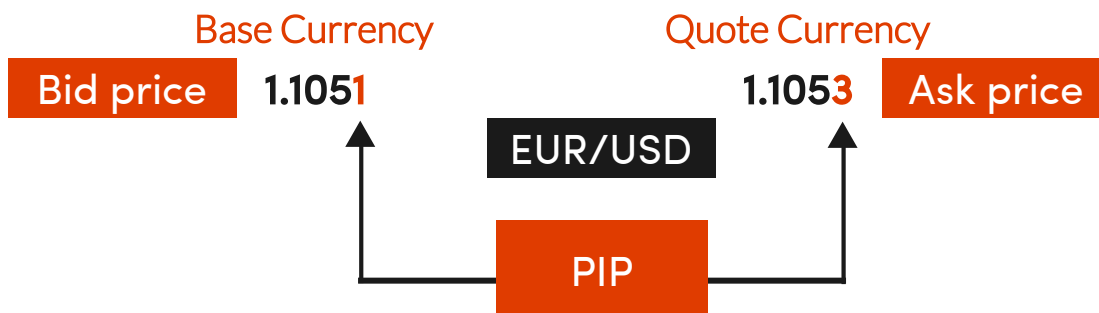
Spread is the difference between the "Buying" and the "Selling" price of the financial asset you are trading.

In your trading platform, you will see a **BID** and **ASK** price.

The **BID** price is the price at which you can **SELL** the base currency.

The **ASK** price is the price at which you can **BUY** the base currency.

And the difference between these two prices is called the **Spread**.



$$\text{SPREAD} = 1.1053 - 1.1051 = 2 \text{ Pips}$$

The spread is quoted in pips and there are 2 types of Spreads: Fixed and Variable. **Fixed spread** means it will stay the same all the time while on the other hand, **Variable spread** means it will fluctuate based on the price movement and the available trading conditions.

Spreads can be affected by various factors such as important news releases, bank holidays, low liquidity, high volatility, among others.

OQtima offers variable spreads for trading across all assets.

What is "Swap"?

The swap is a form of interest that applies only to positions that are left open overnight and is applied to the trading account at 23:59 MT4/5 Server Time.

Swap can be positive or negative, depending on the pair being traded and the direction of the position (buy or sell).

The swap is charged each day of the week a position is held overnight. Depending on what you are trading, the swap fee will be charged triple to account for the weekend.

If the swap is positive, the trader will receive the swap. If is negative, the trader will be charged the swap.



What is "Leverage"?

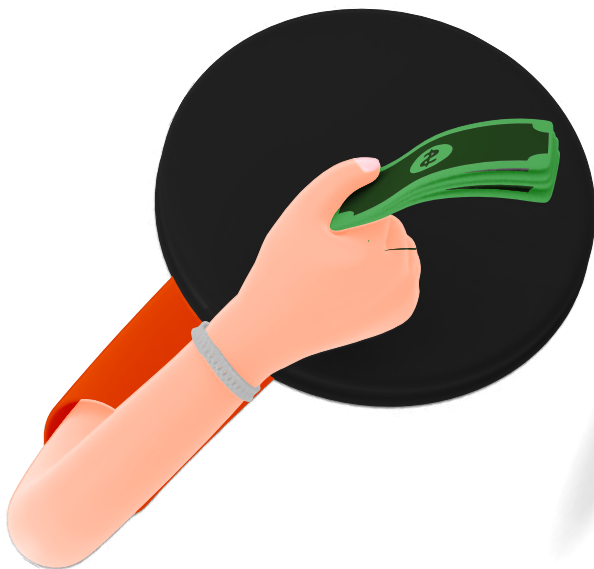
CFD trading with leverage, allows you to increase your market exposure where your profit or loss will be amplified. Using leverage when you trade gives you more buying power. For instance, if you have a leverage ratio of 5:1 you have 5 times more buying power and both your profit and loss will be multiplied by 5. So, a price increase of 2% will be multiplied by 5 and you as a CFD trader using leverage will quickly either make or loss 10%.



REMEMBER: The higher the leverage you are using, the larger the potential profit or loss you can make.

Time for an example?

Let's say the market moves by 5% after you place your trade. If your leverage is the maximum 1:500 then you will get the largest possible profit or loss. It can work both ways!



Disclaimer: when you multiply your profits, you also multiply your losses, which can blow your account very quickly if the market moves suddenly.

UNDERSTANDING YOUR TRADING ACCOUNT

Account balance

The account balance is the total amount of funds available in your account at any given time and this will include all the realised P&L from all previously closed trades.

The account balance does not include any floating P&L from any open trades you may have.

**Account Balance = Deposit –
Withdrawal +/- Realised P&L**

Unrealised, Floating and Realised P&L

Unrealised P&L refers to a profit or loss on your account from any trades that you have currently active. This is also called a **floating profit and loss**, as the value is constantly changing and the amount of the profit or loss is not final until you close your positions.

Realised P&L is a profit or loss from all the trades that have been closed. Profit or Loss can only be realised once the position has been closed. This is the time when your account balance will change as well.

Unrealised/Floating P&L = amount of funds that can potentially be credited or deducted from the trading account when any active trade(s) are closed.

Realised P&L = amount of funds credited or deducted from the account balance when active trade(s) are closed



Margin

When trading you are required to put up a capital to open and maintain a trade active. The amount of margin you need to have on your account will depend on the leverage you are using, the trade size you will be trading and the asset you choose.

When you enter a trade, the margin that is needed for the transaction is set aside in your trading account. This is also called a **Required Margin**.

Margin = Total amount needed to open a trade and keep the trade active

Used Margin

Each time you open a new trade, each trade will have its own specific required margin. If you have more than one active trade, you will have to meet new required margins for each trade.

This is the **total** margin that is required by the trader to always have in the account to keep the trades active. This total amount of funds required is also known as the **Used Margin**.

Used Margin = Total amount of funds needed to cover all active trades



Equity

The **Equity** represents your total account value. The difference between the Account balance and Equity is that Equity includes all your currently active trades and any Unrealised P&L.

$$\text{Equity} = \text{Account balance} \pm \text{Unrealised P\&L}$$

Free Margin

Free margin is the amount of funds available in your account that can be used for:

- Opening new trades.
- Covering losses on your existing trades.
- Withdrawals.

Free margin is the difference between Equity and Used Margin and any Floating P&L.

$$\text{Free Margin} = \text{Equity} - \text{Used Margin} \pm \text{Floating P\&L}$$



Margin level

The **Margin level** is a % value of the account based on the Equity and the Used Margin. This is an indication of the overall value of the account and how much funds you still have available to invest.

The higher the margin level, the more funds you have and the lower the value, the less free margin you have.

Your trading platform will calculate the margin level automatically for you based on your Equity and Used margin and market movement in real-time.

The Margin level is directly affected by your account balance, trade size as well as Floating P&L and used margin.

Margin level can change very rapidly depending on the market conditions.

$$\text{Margin Level} = (\text{Equity} / \text{Used Margin}) \times 100\%$$



Margin call

Margin call means that your account has reached a specific threshold. When a margin call is reached there is a possibility that your account will be liquidated, and all your trades could be closed.

The margin call is the first warning that you may need to close some of your existing trades to free up some margin or add more funds to your account if you want to keep your trades active.

With OQtima the margin call level is set to 80%. That means if your equity is 200 USD and your used Margin is 160USD you have reached the 80% margin call level.



Key things to remember

1

The margin level is the indicator of the overall health of your trading account. *The higher the margin level the healthier the account is.*

2

Your Margin level is affected by all aspects of your trading account that is *Account balance, Equity, Used Margin and Floating P&L.*

3

Your *Equity* is affected by your *Account Balance* and *Floating P&L*

4

Used Margin is affected by your *trade size* and *total number of opened trade(s).*

KNOWLEDGE ROUNDUP

Are you ready to test your knowledge?

- The market moves by 2%. Trading with how much leverage would lead to the largest potential profit or loss?

Answer: *The higher leverage will always lead to the largest potential profit or loss.*

- When trading CFDs with leverage, you may open a larger position, and the following may happen:

Answer: *Your risk of loss will be increased.*

- If the price changes from 1.20050 to 1.20080 How many pips did the price increase or decrease?

Answer: *The price increased by 3 pips which is the same as 30 points*

- If you want to limit your losses when trading, what type of closing order would you choose?

Answer: *A stop loss can be placed when you place the trade or after the trade is open. See our ultimate guide to MT4 for detailed information on how to protect your trades.*

Is your calculator at the ready?

- What would be the required margin for 1 Lot (100,000) EUR/USD, if your leverage is 1:30?

Answer: *3,333 EUR*

Remember you take the trade size in units and divide it by leverage:

Trade size in units / Leverage = Margin in base currency

- If the BID price of XAUUSD is at 1826.48 and the ASK price is at 1826.56, then what is the Spread on this instrument?

Answer: The spread is 8 points.

- Your Sell/Short position on EUR/USD was closed at a higher price than it was opened. Did you make a profit or loss on this trade?

Answer: The price went higher so you made a loss on this trade.

- When placing the Sell Limit type of pending order, what are you expecting from that trade?

Answer: To open a sell position at the price you requested which is higher than the current market price.

- When is the FX Market open for trading and which session opens it?

Answer: The Forex market is open 24 hours a day, 5 days a week (Monday to Friday) and begins with the Tokyo session.



Thank you

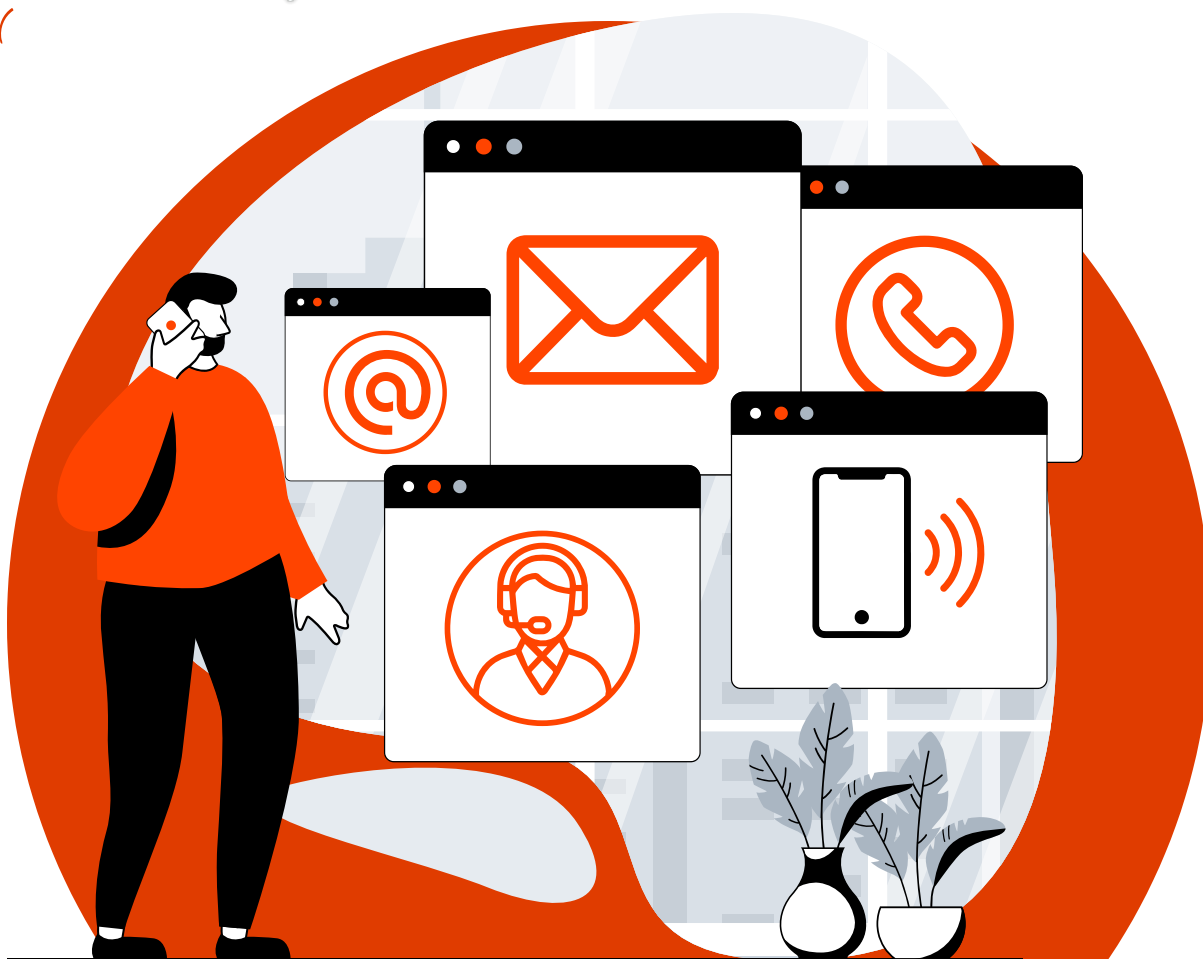
We hope you enjoyed this e-book

If you have any questions, feel free to contact the OQtima Support team.

We can be reached anytime by the below channels



You just have to click here!



Are you ready to take your trading to the next level?

If you made it until here, then you are definitively on your way to becoming the best trader and we want you to be able to take full advantage of it.

For the overachiever in you

Additional resources to help you make the most of your trading experience with OQtima:

The essential guide to MetaTrader 5

cTrader explained: A comprehensive guide for beginners

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